

Good morning, everyone.

Today, the content we are going to share with you is about “**The evolution of digital wallets and cryptocurrency security**”. At the beginning, we will quickly go through the development history of digital wallets and cryptocurrency, and then we are gonna focus on the security problem of cryptocurrency. So, let’s get started.

Over the years, digital wallets have gone through three major phases: web wallets, mobile wallets, and crypto wallets.

Web Digital Wallets emerged along with the rapid development of the Internet around 2000. These wallets were mainly used for online payments. The primary function was to support online shopping and store bank card information.

In the year of 2008, two events of far-reaching significance occurred. The first event was that Apple released the legendary iPhone 3g, kicking off the era of mobile Internet. The other event was that Satoshi Nakamoto published a paper on decentralised payment methods, which initiated the era of cryptocurrencies.

Mobile Digital Wallets started around 2008 and continue to this day. Payment methods with them became more advanced, including tap-to-pay, QR codes, and biometric authentication like fingerprint or facial recognition. Furthermore, Mobile wallets also support a wide range of functions, including payment, transfers, and even financial services.

After that, **Crypto Digital Wallets** have come into people's view as the value of cryptocurrencies keeps rising. Technically, cryptocurrencies are stored in the addresses on the blockchain. The function of a crypto wallet is to generate, store and utilise private keys to control these addresses. Based on whether connected to the Internet, crypto wallets can be classified into two types: cold wallets and hot wallets. Cold wallets store your private keys on local devices, making them more secure, but they are less convenient to use. Hot wallets, on the contrary, are the opposite.

Nowadays, mobile digital wallets have almost completely dominated the payment industry, both online and offline. Also, different countries have their own popular digital wallets. For example, Alipay and WeChat Pay are widely used in China, Paytm in India, and PicPay in Brazil.

One question is: When will crypto wallets replace the previous generation of digital wallets and become mainstream? Many people believe that this will only happen when cryptocurrencies take over the position of legal tender. Nowadays, almost all central banks around the world are studying CBDC, central bank digital currencies. Perhaps in the not-too-distant future, this will become a reality.

And the issues of value fluctuation and security of cryptocurrencies also need to be addressed. In the following parts, we will mainly focus on these issues.